GradientCIO

EQUITY RESEARCH NOTE

Example Industrial Corp. (TEST)

EXIC · Example Exchange · Industrial machinery · FY ends 12-31 · RENDER TEST

TICKER EXIC	CIK 0000000000	LATEST FILING 10-Q, 2026-08-05
FISCAL YEAR END 12-31	PREPARED FOR Example Allocator (TEST)	REPORT DATE 2026-10-04

REVIEW FLAGS (NOT A RATING)

2 items to review

EVIDENCE COMPLETENESS

8 of 10 · Degraded

01 Executive summary

Render test with fictional data — not a real issuer

REVIEW FLAGS (NOT A RATING)

2 items to review

EVIDENCE COMPLETENESS · 8/10

BOTTOM LINE

Example Industrial reported FY2025 revenue of $12.40B, up 6.2% year over year, with operating margin of 14.8% versus 16.1% a year earlier S1. Capital expenditures rose 58.0% to $1.32B while free cash flow margin fell to 5.1% S1 S2, and the latest 10-Q added 3 risk-factor passages S3. 18 of 29 cohort hedge funds held the stock at 2026-06-30 S9. Sector signal context was unavailable, so completeness is degraded.

REVENUE GROWTH	OPERATING MARGIN	NET DEBT / EBITDA	LATEST FILING
+6.2%	14.8%	1.9x	10-Q
FY2025 vs FY2024, 10-K S1	16.1% prior year S1	FY2025 S1	Filed 2026-08-05 S5

- Revenue $12.40B in FY2025, up 6.2% S1
- Operating margin down 1.3 pts to 14.8% S1
- 3 risk passages added in the 2026-08-05 10-Q S3
- Capex up 58.0% with FCF margin down — check funding S2
- Held by 62.1% of the hedge-fund cohort (13F, delayed) S9
- Sector signal context unavailable (validation 422)

EVIDENCE COVERAGE

Fundamentals	Available	FY2025 10-K facts S1
Change report	Available	8 ranked changes S2
Filing changes (10-Q vs 10-Q)	Partial	1 input missing S3
Peer comparison	Partial	2 peers, some metrics incomparable S4
Risk findings	Available	12 findings S6
Industry structure	Partial	2 of 5 forces evidenced S7
Earnings release	Available	8-K 2026-07-30 S8
Hedge-fund crowding	Available	2026-06-30 panel S9
Sector equity signal	Unavailable	equity_signal_stale_contributors
Roster holdings	Unavailable	CUSIP not available

Key judgment — headline signal

Observation: The fictional TEST report carries a 2 items to review signal S1. Why it matters: This signal focuses oversight on the report's most decision-relevant condition. Uncertainty: Evidence coverage may exclude newer or more detailed observations. What would change the view: A governed refresh showing a different signal or breached threshold.

Key judgment — primary measure

Observation: Revenue growth is +6.2% in the TEST evidence S2. Why it matters: This measure establishes the baseline for comparing later governed results. Uncertainty: The source basis may omit newer observations outside this fixture. What would change the view: A refreshed source report showing a change above 1%.

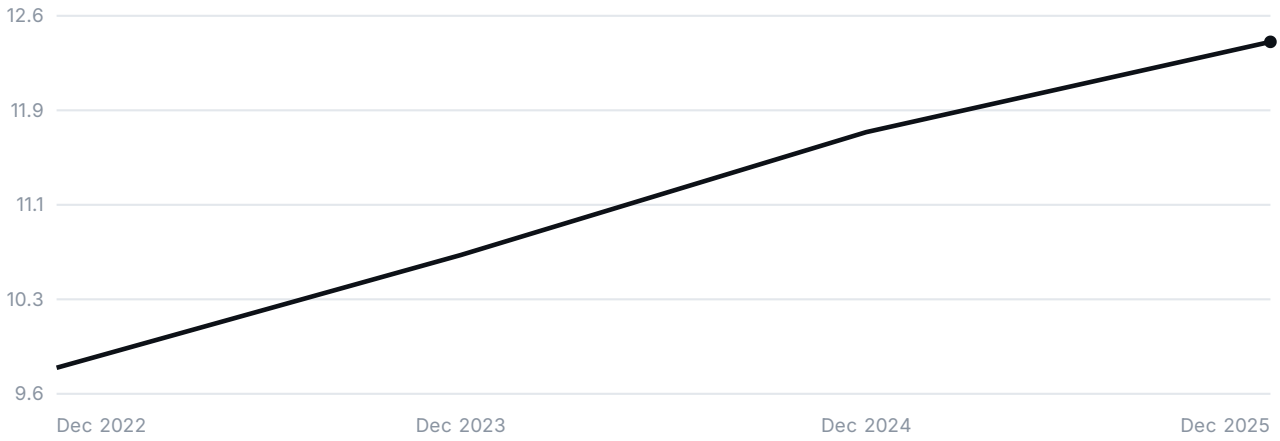
Key judgment — monitoring priority

Observation: Latest filing is 10-Q in the TEST evidence S3. Why it matters: This result determines which item receives priority in the next monitoring cycle. Uncertainty: Supporting coverage may omit later filings or corroborating detail. What would change the view: A new filing or report that resolves the item or changes it by 1%.

02 Fundamentals trend

Revenue growth continued while operating margin declined

REVENUE (USD BILLIONS)



First-filed annual facts S1.

ANNUAL CHANGES (FY2025 VS FY2024, 10-K)

METRIC	FY2025	FY2024	CHANGE	SOURCE
Revenue	$12.40B	$11.68B	+6.2%	S1
Operating income	$1.84B	$1.88B	-2.1%	S1
Operating cash flow	$1.95B	$1.90B	+2.6%	S1
Capital expenditures	$1.32B	$0.84B	+58.0%	S2
Diluted EPS	$4.12	$4.20	-1.9%	S1

All values as first filed; no revisions or amendments flagged S1.

OPERATING MARGIN BY FISCAL YEAR



CASH AND CAPITAL ALLOCATION (FY2025)

Free cash flow margin	**5.1%** S1
Earnings cash conversion	**1.24x** S1
Dividends	**$0.31B** S1
Repurchases	**$0.22B** S2
Liabilities / equity	**1.42x** S2

Analysis — Growth with margin pressure

Observation: FY2025 revenue rose 6.2% while operating margin fell to 14.8% S1. Why it matters: Growth did not translate into stable operating profitability. Uncertainty: Annual statement coverage does not isolate margin drivers. What would change the view: Later filed statements showing measurable margin stabilization.

03 Filing changes

The latest quarterly filing added three disclosure passages

FILING-CHANGE INTENSITY

ADDED	REMOVED	
10-Q 2026-08-05	3	0
RISK FACTORS	1	0

LATEST 10-Q VS PRIOR 10-Q

FORM	CURRENT FILED	PRIOR FILED	PASSAGES ADDED	PASSAGES REMOVED
10-Q	2026-08-05	2026-05-06	3	0

Counts of disclosure passages from the filing diff S3.

Analysis — New passages merit review

Observation: The 2026-08-05 10-Q added three passages and removed none S3. Why it matters: New language can identify changed disclosure emphasis. Uncertainty: Passage-count coverage does not measure the filing's economic impact. What would change the view: A later filing removing or quantifying the added passages.

04 Risk factors

Supplier dependence is the newest retrieved risk finding

MEDIUM **Supply chain**
"Disruptions at single-source suppliers could delay shipments." — 10-Q filed 2026-08-05 S6

LOW **Competitive**
"We face competition from larger, diversified manufacturers." — 10-K filed 2026-02-20 S6

RISK-FACTOR FINDINGS

CATEGORY	FILING LANGUAGE (EXCERPT)	FILING	FRESHNESS
Supply chain	"Disruptions at single-source suppliers could delay shipments."	10-Q 2026-08-05	New
Competitive	"We face competition from larger, diversified manufacturers."	10-K 2026-02-20	Available

Fictional sample sentences S6.

Analysis — Supplier risk is newest

Observation: One newest retrieved finding concerns single-source suppliers S6. Why it matters: That dependency can interrupt product shipment continuity. Uncertainty: The filing omits quantified probability and financial impact. What would change the view: Later filings documenting diversification or quantified supplier exposure.

05 Latest earnings release

Quarterly revenue increased four percent versus the prior period

QUARTERLY REVENUE VERSUS PRIOR PERIOD



GAAP revenue; Form 8-K Item 2.02 filed 2026-07-30 S8.

Filed	**2026-07-30** S8
Items	**2.02, 9.01** S8
Guidance changes	**None extracted** S8

- Quarterly revenue $3.21B, up 4.0% (GAAP) S8
- One-time item: none returned S8

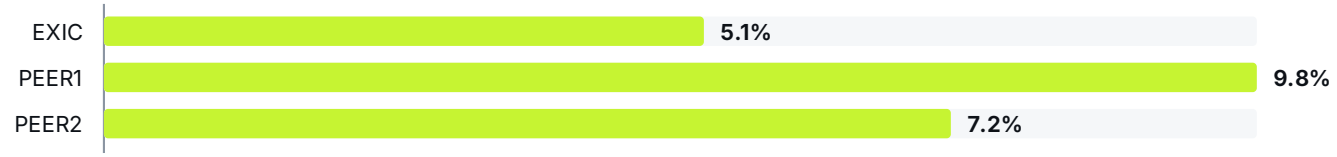
Analysis — Revenue advanced modestly

Observation: Quarterly revenue rose 4.0% to $3.21B S8. Why it matters: The release confirms continued top-line growth. Uncertainty: Extracted release coverage omits guidance changes and one-time items. What would change the view: A later report showing a materially different revenue trajectory.

06 Peers and dated valuation context

Free-cash-flow margin trails the two confirmed peers

FY2025 FREE-CASH-FLOW MARGIN



Annual periods ending 2025-12-31; peer context dated 2026-08-05 S4.

METRIC	EXIC	PEER1	PEER2	PEER MEDIAN	EXIC RANK
Gross margin	31.4%	28.9%	34.0%	31.5%	2 of 3
FCF margin	5.1%	9.8%	7.2%	8.5%	3 of 3
Net debt / EBITDA	1.9x	2.6x	1.1x	1.9x	2 of 3

Annual periods ending 2025-12-31 S4. Rank 1 = most favourable per rank_direction.

Analysis — Cash margin trails peers

Observation: EXIC's 5.1% FY2025 free-cash-flow margin ranks third among three issuers S4. Why it matters: Cash conversion differs across the confirmed comparison set. Uncertainty: The comparison is dated 2026-08-05 and some metrics are incomparable. What would change the view: Period-aligned peer filings reporting a different ranking.

07 Industry structure

Retrieved disclosures emphasize rivalry and supplier dependence

INDUSTRY EVIDENCE COVERAGE BY FORCE



Binary retrieval coverage, not force strength S7.

INDUSTRY STRUCTURE (DISCLOSURE EVIDENCE)

FORCE	EVIDENCE	BASIS
Rivalry	Competition disclosure in Item 1A S7	Available
Supplier power	Single-source supplier disclosure S7	Available
Buyer power	No matching sentence retrieved	Missing

How to read this

Filing sentences are issuer disclosures, not measurements of industry force strength or moat durability S7.

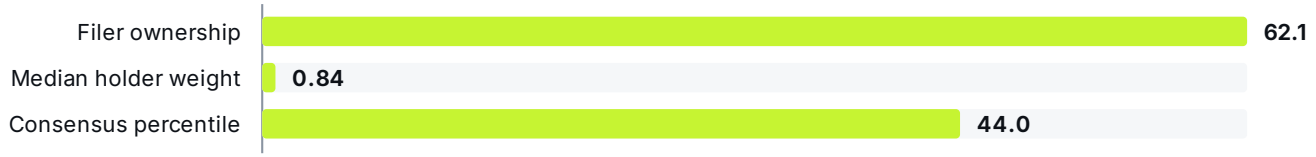
Analysis — Supplier dependence leads disclosures

Observation: Supplier concentration is evidenced while buyer power is not retrieved S7. Why it matters: Disclosed dependency can constrain operating resilience. Uncertainty: Filing coverage omits probability and quantified loss estimates. What would change the view: Later filings documenting diversification or quantified supplier exposure.

08 Positioning and crowding

Cohort ownership is broad but the directional panels are silent

CROWDING MEASURES



Percentages use distinct governed denominators; compare direction, not magnitude S9.

EXIC IN THE CROWDING PANELS

Consensus rank	**14 of 25 shown** S9
Holders	**18 of 29 filers (62.1%)** S9
Median weight (holders)	**0.84%** S9
Building / unwinding	**Not in either top-25 panel** S9

How to read 13F crowding

13F filings are delayed (49 days at the report date), cover long U.S.-listed positions only, omit shorts and most non-U.S. exposure, and do not show intent S9.

Analysis — Broad ownership lacks direction

Observation: 18 of 29 filers report the issuer, but it is absent from building and unwinding panels S9. Why it matters: Ownership breadth alone does not establish momentum. Uncertainty: Form 13F records are delayed and omit shorts. What would change the view: Refreshed panel results showing a sustained build or unwind.

09 Roster holders

Roster matching was not run without an issuer CUSIP

Roster holders unavailable

Not available — no issuer CUSIP was returned, so roster holdings were not checked. This bounded miss is not evidence that no rostered manager holds the issuer.

10 Appendix A — Sources and method

SOURCES

TAG	EVIDENCE	TOOL / VIEW	AS OF	VALIDATION	DIGEST
S1	Fundamentals	fundamentals / fundamentals	2026-10-04	Not_run	aa11bb22
S2	Change report	fundamentals / change_report	2026-10-04	Passed	cc33dd44
S3	Filing changes	fundamentals / changes	2026-10-04	Passed	ee55ff66

TAG	EVIDENCE	TOOL / VIEW	AS OF	VALIDATION	DIGEST
S4	Peer comparison	fundamentals / peer_comparison	2026-08-05	Advisory	11223344
S5	Filing inventory	filing_evidence / filings	2026-10-04	Passed	55667788
S6	Risk findings	filing_evidence / risk_findings	2026-10-04	Passed	99aabbcc
S7	Industry structure	filing_evidence / industry_structure	2026-10-04	Passed	ddeeff00
S8	Earnings release	filing_evidence / earnings_release	2026-07-30	Passed	0a1b2c3d
S9	Hedge-fund crowding	market_positioning / hedge_fund_crowding	2026-10-02	Passed	4e5f6a7b

SERVER METRIC METHODS

SOURCE	METRIC	SERVER METHOD / BASIS
S1	Net debt / EBITDA	get_public_equity_fundamentals.leverage_metric; preserve returned formula_id, formula_version, period_basis, units and source facts
S2	Liabilities / equity	get_public_equity_change_report.leverage_metric; preserve returned formula_id, formula_version, period_basis, units and source facts

- Review flags: elevated = negative annual operating income or OCF, revised or amended facts, net debt / EBITDA ≥ 3.0x, or filed impairment / restatement / going-concern items; watch = revenue down, operating margin down ≥ 2.0 pts, capex up ≥ 50% with FCF margin down, risk passages added or removed, or ≥ 50% cohort holder share; clear = none; insufficient = fundamentals unavailable.
- Sector mapping is SEC SIC to a Gradient sector, not GICS.

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